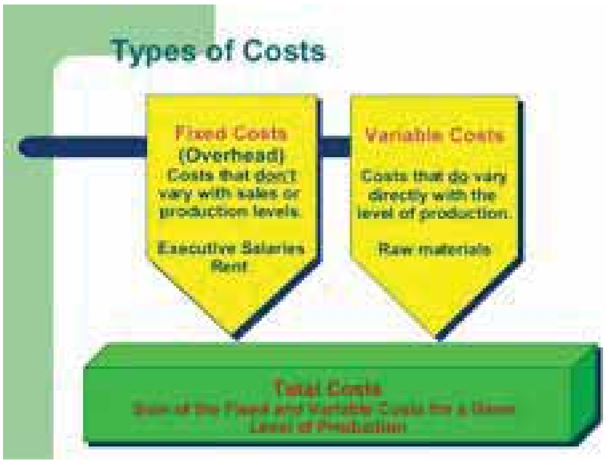
Types of Costs
Fixed Costs
(Overhead)
Costs that don't vary with sales or production levels.
Executive Salaries
Rent
Variable Costs
Costs that do vary directly with the level of production.
Raw materials
Total Costs
Sum of the Fixed and Variable Costs for a Given Level of Production

4.3.12 Variable Cost

These costs vary with the level of output. Examples of variable costs are: wages of temporary workers, cost of raw materials, fuel cost, electricity charges, etc. Variable cost is also called as Prime Cost, Special Cost, or Direct Cost.

4.4

Short run Cost Curves

4.4.1 Total Fixed Cost (TFC)

Table 4.1 Total Fixed Cost

Output (in unit)	Total Fixed Cost (in ₹)
0	1000
1	1000
2	1000
3	1000
4	1000
5	1000

All payments for the fixed factors of production are known as Total Fixed Cost. A hypothetical TFC is shown in table 4.1 and diagram 4.1

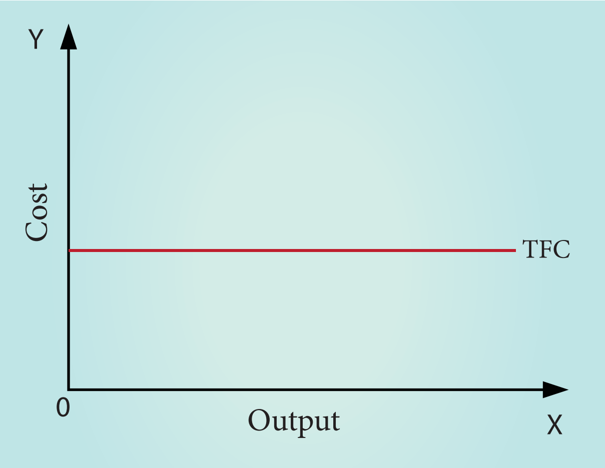

Diagram 4.1

For instance if TC = $Q^3 - 18Q^2 + 91Q + 12$, the fixed cost here is 12. That means, if Q is zero, the Total cost will be 12, hence fixed cost.

It could be observed that TFC does not change with output. Even when the output is zero, the fixed cost is ₹.1000. TFC is a horizontal straight line, parallel to X axis.

4.4.2 Total Variable Cost (TVC)

All payments to the variable factors of production is called as Total Variable Cost. Hypothetical TVC is shown in table-4.2 and Diagram 4.2

Table 4.2 Total Variable Cost

Output (in unit)	Total Variable Cost (in ₹)
0	0
1	200
2	300
3	400
4	600
5	900